

John Maynard Keynes reportedly once said, “When the facts change, I change my mind. What do you do?” Unfortunately, not many of us are so impervious to confirmation, conservatism, and anchoring biases. Like the falling from grace of the efficient market hypothesis, it may take many years before the academic and professional investment communities fully reevaluate the existence of a value premium. Fama and French (2014) have now updated their earlier work by issuing a new working paper called, “A Five-Factor Asset Pricing Model,” in which the combination of profitability (profits divided by book value) and investment intensity (yearly growth in total assets) can replace value as a risk factor.⁸

Value may or may not be a robust driver of abnormal returns, but there is little doubt that momentum is the king of all market anomalies. Meanwhile, followers of smart beta would do well to look for more than just small-cap and value biases in choosing their investment strategies.

DOES MOMENTUM REALLY MATTER?

Israel and Moskowitz (2013) also included cross-sectional stock momentum in their analysis using a 12-month look-back period while skipping the last month. They found that the momentum premium is present and stable across all size groups. The momentum effect is also positive and statistically significant in every 20-year subperiod. There has been no diminution in its effect during the most current 20-year period. Reliable alphas have ranged from 8.9% to 10.3% per year over the four subperiods before transaction costs.

According to Israel and Moskowitz, across all 86 years, cumulative long-only momentum excess returns averaged 13.6% annually, with a standard deviation of 21.8 and a Sharpe ratio of 0.62. Value excess returns averaged 12.4%, with a standard deviation of 26.5 and a Sharpe ratio of 0.47. Small-size excess returns averaged 11.5%, with a standard deviation of 26.3 and a Sharpe ratio of 0.44.⁹ Momentum may not only be the “premier anomaly,” as per Fama and French (2008). It may be the only true and lasting anomaly.